Daiwa Capital Markets Hong Kong Limited

Hon Precision (7769 TT)

Target price: **TWD6,365.00**

Share price (9 Nov): **TWD4,040.00** | Up/downside: **+57.5%**

5 4 3 2 **1**

★ **Buy** (initiation)

Initiation: breaking the AI testing bottleneck

- AI testing intensity and content expansion driving structural growth
- Recurring revenue and CPO set to unlock new TAM expansion
- Initiating with a Buy (1) call and 12M TP of TWD6,365

Leon Chen
(886) 2 8758 6247
leon.chen@daiwacm-cathay.com.tw

Mike Liu
(886) 2 8758 6252
mike.liu@daiwacm-cathay.com.tw



Investment case: We initiate coverage of Hon Precision, the global leader in test handlers and active thermal control (ATC) systems, with a Buy (1) rating. According to management, the company commands >70% market share in AI/HPC final test (FT) and c.50% in system-level test (SLT) by revenue, distinctly positioning it as one of the key global beneficiaries of the rising silicon complexity.

Multi-layer content stacking supports ASP and margin growth. As test durations continue to lengthen and thermal requirements rise, customers are required to deploy greater parallel testing capacity and higher-specification handlers, creating a structural demand tailwind for both FT and SLT handler. We forecast rising AI chip power consumption and package complexity over our forecast horizon to drive adoption of higher-value ATC systems, mega-tray handlers (adding 25-30% to ASP relative to standard dual-temp ATC systems), and AOI integration (adding a further 10-15% to system ASP), supporting a multi-year increase in content per tool and expanding its gross margin from 56.8% to 59.2% over 2026-28E.

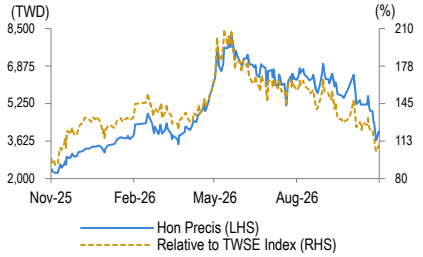
Recurring consumables and CPO testing expand long-term growth visibility. Cold plates generate high-margin, annuity-like revenue with every new chip platform which should benefit from shortening AI processor refresh cycles. Beyond consumables, Hon Precision is extending its testing platform into co-packaged optics (CPO), where optical-electrical co-testing could unlock a new addressable market beyond traditional GPU and ASIC testing. While near-term contribution remains limited, we view CPO as a strategic growth option that enhances the company's long-term earnings visibility and valuation premium over our forecast horizon.

Catalysts: 1) capacity expansion ramp in 2027; 2) mega-tray penetration and higher-power ATC adoption; 3) initial CPO test solution qualification.

Valuation: We initiate with a Buy (1) rating and 12M TP of TWD6,365, based on a target PER of 30x applied on our 2027E EPS. The stock currently trades at c.19x forward PER, despite our projected 2026-28E EPS CAGR of 55%, implying a PEG of only 0.35x. We believe its current valuation heavily discounts macro noise with share price pulling back by c.53% from its historical high and derating from a cycle-peak multiple of 45-50x 1-year-forward PER. Backed by solid order visibility through late-2027, we highlight Hon Precision's risk-reward profile as decisively asymmetric.

Risks: 1) Slower-than-expected AI/HPC investment; 2) delayed ramp-up of new products; and 3) potential loss of market share.

Share price performance



12-month range	2,250.00-8,260.00
Market cap (USDbn)	22.06
3m avg daily turnover (USDm)	153.46
Shares outstanding (m)	180
Major shareholder	Hung Min Dev. Co Ltd (17.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	57,704	90,655	133,460
Operating profit (m)	28,686	46,457	69,916
Net profit (m)	23,876	38,178	57,086
Core EPS (fully-diluted)	132.700	212.182	317.266
EPS change (%)	75.3	59.9	49.5
Daiwa vs Cons. EPS (%)	1.0	(3.9)	(12.2)
PER (x)	30.4	19.0	12.7
Dividend yield (%)	2.3	3.7	5.5
DPS	92.9	148.5	222.1
PBR (x)	12.3	9.0	6.6
EV/EBITDA (x)	23.5	14.2	9.2
ROE (%)	40.8	54.6	59.6

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 22

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Buy
(initiation)

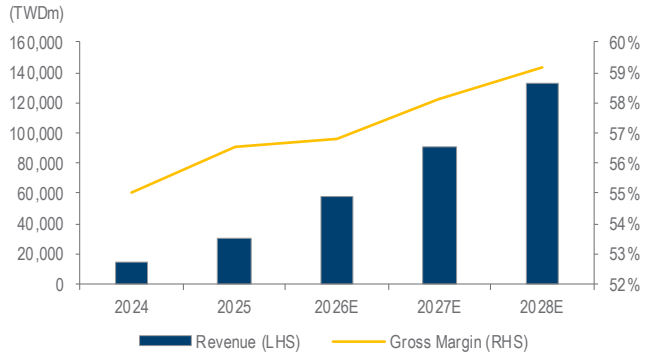
How do we justify our view?

Growth outlook	Valuation	Earnings revisions
✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔	✔ ✔ ✔ ✔

Growth outlook

We expect Hon Precision's growth momentum over 2026-28E to be driven by increasing testing content per chip, supported by rising power consumption in AI/HPC chips, larger package sizes, and growing system complexity. We expect the transition towards high-end ATC handlers, mega-tray solutions, and integrated AOI functions to drive meaningful ASP expansion over our forecast horizon, with recurring cold plate demand providing an additional gross-margin growth driver.

Hon Precision: revenue and gross margin outlook

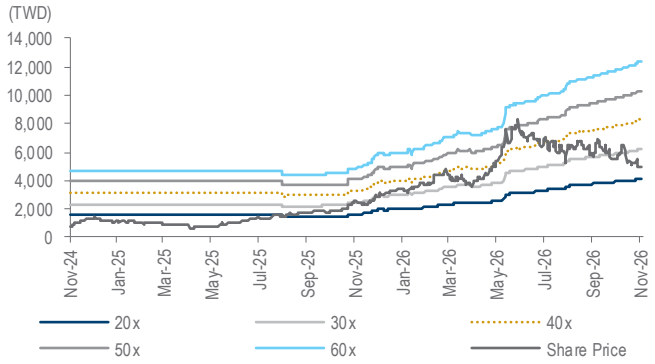


Source: Company, Daiwa research

Valuation

Our 12-month TP of TWD6,365 is based on a target PER of 30x applied to our 2027E EPS forecast. Following the strong share-price rally in 1H26, investor focus shifted away from Hon Precision due to limited near-term catalysts ahead of the 2H27 ramp-up of mega-tray handlers, CPO testing solutions and new capacity. We believe the recent 53% pullback from its historical high on 29 May 2026 and derating from 45-50x 1-year-forward PER to c.19x more than prices in the macro uncertainties. At the current levels, the stock offers an attractive risk-reward profile, trading at a PEG of just 0.35x based on our 2026-28E EPS CAGR of 55%.

Hon Precision: 1-year-forward PER bands

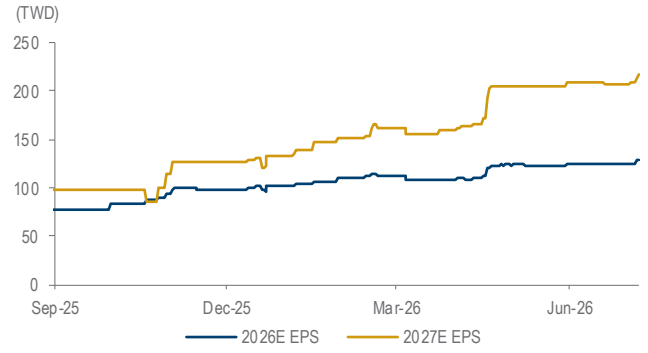


Source: Bloomberg

Earnings revisions

The Bloomberg consensus raised its 2026E and 2027E EPS estimates by 68% and 122%, respectively, over the past year, driven by stronger-than-expected AI-related demand and improving visibility on the company's long-term growth trajectory. We believe the upward revisions reflect rising confidence in volume and ASP expansion across the company's key testing solutions, supported by accelerating AI infrastructure investments and expanding customer adoption.

Hon Precision: Bloomberg-consensus earnings revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Handler shipment (units)	n.a.	n.a.	n.a.	394	1,610	2,947	4,325	5,920
Server CPU shipment (mn)	38	36	23	22	28	36	49	58
AI GPU/ ASIC shipment (mn)	0	0	4	9	12	18	29	33

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Handler	n.a.	n.a.	n.a.	10,418	22,842	43,288	66,963	96,728
Cold Plate	n.a.	n.a.	n.a.	3,204	6,764	12,824	20,967	31,014
Other Revenue	n.a.	n.a.	n.a.	371	665	1,592	2,724	5,718
Total Revenue	**12,292**	**13,469**	**9,489**	**13,992**	**30,271**	**57,704**	**90,655**	**133,460**
Other income	0	0	0	0	0	0	0	0
COGS	(6,580)	(7,236)	(4,823)	(6,293)	(13,157)	(24,945)	(37,959)	(54,469)
SG&A	(623)	(502)	(424)	(505)	(1,077)	(1,873)	(2,957)	(4,404)
Other op.expenses	(651)	(691)	(548)	(637)	(1,039)	(2,142)	(3,282)	(4,671)
Operating profit	**4,317**	**5,006**	**3,766**	**6,285**	**15,046**	**28,686**	**46,457**	**69,916**
Net-interest inc./(exp.)	4	14	68	160	306	1,035	974	1,256
Assoc/forex/extraord./others	(190)	670	52	239	232	227	396	342
Pre-tax profit	**4,131**	**5,690**	**3,887**	**6,683**	**15,584**	**29,947**	**47,827**	**71,513**
Tax	(933)	(1,324)	(819)	(1,397)	(3,222)	(6,072)	(9,649)	(14,427)
Min. int./pref. div./others	(23)	(10)	0	0	0	(0)	0	0
Net profit (reported)	**3,175**	**4,356**	**3,068**	**5,286**	**12,362**	**23,876**	**38,178**	**57,086**
Net profit (adjusted)	**3,175**	**4,356**	**3,068**	**5,286**	**12,362**	**23,876**	**38,178**	**57,086**
EPS (reported)(TWD)	**67.620**	**92.770**	**19.170**	**32.950**	**75.710**	**132.700**	**212.182**	**317.266**
EPS (adjusted)(TWD)	**67.620**	**92.770**	**19.170**	**32.950**	**75.710**	**132.700**	**212.182**	**317.266**
EPS (adjusted fully-diluted)(TWD)	**67.620**	**92.770**	**19.170**	**32.950**	**75.710**	**132.700**	**212.182**	**317.266**
DPS (TWD)	**8.500**	**51.080**	**30.000**	**22.500**	**64.990**	**92.890**	**148.528**	**222.086**
EBIT	**4,317**	**5,006**	**3,766**	**6,285**	**15,046**	**28,686**	**46,457**	**69,916**
EBITDA	**4,351**	**5,037**	**3,801**	**6,330**	**15,114**	**28,845**	**46,824**	**70,728**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,131	5,690	3,887	6,683	15,584	29,947	47,827	71,513
Depreciation and amortisation	34	31	35	46	69	159	367	812
Tax paid	(933)	(1,324)	(819)	(1,397)	(3,222)	(6,072)	(9,649)	(14,427)
Change in working capital	(3,788)	(1,059)	1,494	(3,545)	(4,100)	(13,762)	(4,949)	(7,720)
Other operational CF items	1,374	166	687	521	7,856	(615)	0	0
Cash flow from operations	**819**	**3,503**	**5,283**	**2,308**	**16,186**	**9,658**	**33,596**	**50,178**
Capex	(153)	(377)	(230)	(114)	(285)	(2,847)	(3,849)	(4,649)
Net (acquisitions)/disposals	(23)	12	(676)	(1,196)	1,218	(2,744)	(763)	(1,754)
Other investing CF items	(3)	(86)	(0)	(11)	(364)	324	0	0
Cash flow from investing	**(179)**	**(451)**	**(906)**	**(1,322)**	**569**	**(5,268)**	**(4,612)**	**(6,403)**
Change in debt	(16)	(158)	0	156	(152)	0	0	0
Net share issues/(repurchases)	20	0	0	894	34,466	0	0	0
Dividends paid	(328)	(399)	(2,398)	(4,800)	(3,636)	(11,694)	(16,714)	(26,725)
Other financing CF items	(9)	(28)	(9)	(9)	(29)	85	0	0
Cash flow from financing	**(333)**	**(585)**	**(2,408)**	**(3,759)**	**30,650**	**(11,609)**	**(16,714)**	**(26,725)**
Forex effect/others	0	0	0	4	(2)	9	7	6
Change in cash	**306**	**2,467**	**1,970**	**(2,769)**	**47,402**	**(7,210)**	**12,277**	**17,057**
Free cash flow	666	3,126	5,053	2,193	15,901	6,811	29,747	45,529

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	4,428	6,862	9,498	8,045	54,228	49,564	61,841	78,897
Inventory	4,346	5,149	4,092	8,444	12,641	19,887	30,604	42,438
Accounts receivable	3,231	2,544	1,111	2,913	2,935	6,963	11,966	16,410
Other current assets	98	84	43	135	391	595	595	595
Total current assets	**12,104**	**14,638**	**14,744**	**19,537**	**70,195**	**77,011**	**105,006**	**138,341**
Fixed assets	1,376	1,754	2,094	2,263	2,901	5,690	9,172	13,009
Goodwill & intangibles	0	0	0	0	0	0	0	0
Other non-current assets	14	43	40	66	174	521	1,284	3,038
Total assets	**13,494**	**16,435**	**16,877**	**21,866**	**73,270**	**83,221**	**115,462**	**154,388**
Short-term debt	0	0	0	157	0	0	0	0
Accounts payable	3,180	2,189	1,473	4,497	5,725	16,940	27,709	36,268
Other current liabilities	2,402	2,570	3,052	3,375	9,303	6,879	6,879	6,879
Total current liabilities	**5,582**	**4,758**	**4,525**	**8,028**	**15,028**	**23,819**	**34,588**	**43,147**
Long-term debt	177	0	0	0	0	0	0	0
Other non-current liabilities	12	22	37	106	211	278	278	278
Total liabilities	**5,770**	**4,781**	**4,562**	**8,134**	**15,239**	**24,096**	**34,866**	**43,424**
Share capital	470	470	1,600	1,616	1,799	1,799	1,799	1,799
Reserves/R.E./others	7,254	11,185	10,715	12,116	56,232	57,326	78,797	109,164
Shareholders' equity	**7,724**	**11,654**	**12,315**	**13,732**	**58,031**	**59,125**	**80,596**	**110,963**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**13,494**	**16,435**	**16,877**	**21,866**	**73,270**	**83,221**	**115,462**	**154,388**
EV	722,637	720,027	717,390	719,000	672,660	677,324	665,047	647,991
Net debt/(cash)	**(4,251)**	**(6,862)**	**(9,498)**	**(7,888)**	**(54,228)**	**(49,564)**	**(61,841)**	**(78,897)**
BVPS (TWD)	**163.342**	**248.212**	**76.971**	**84.974**	**322.520**	**328.154**	**447.486**	**616.258**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	n.a.	9.6	(29.5)	47.5	116.3	90.6	57.1	47.2
EBITDA (YoY)	n.a.	15.8	(24.5)	66.6	138.8	90.8	62.3	51.1
Operating profit (YoY)	n.a.	16.0	(24.8)	66.9	139.4	90.7	62.0	50.5
Net profit (YoY)	n.a.	37.2	(29.6)	72.3	133.9	93.1	59.9	49.5
Core EPS (fully-diluted) (YoY)	n.a.	37.2	(79.3)	71.9	129.8	75.3	59.9	49.5
Gross-profit margin	46.5	46.3	49.2	55.0	56.5	56.8	58.1	59.2
EBITDA margin	35.4	37.4	40.1	45.2	49.9	50.0	51.7	53.0
Operating-profit margin	35.1	37.2	39.7	44.9	49.7	49.7	51.2	52.4
Net profit margin	25.8	32.3	32.3	37.8	40.8	41.4	42.1	42.8
ROAE	82.2	45.0	25.6	40.6	34.5	40.8	54.6	59.6
ROAA	47.1	29.1	18.4	27.3	26.0	30.5	38.4	42.3
ROCE	109.3	51.2	31.4	48.0	41.8	49.0	66.5	73.0
ROIC	96.3	80.1	n.a	85.1	n.a	n.a	n.a	n.a
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	net cash
Effective tax rate	22.6	23.3	21.1	20.9	20.7	20.3	20.2	20.2
Accounts receivable (days)	48.0	78.2	70.3	52.5	35.3	31.3	38.1	38.8
Current ratio (x)	2.2	3.1	3.3	2.4	4.7	3.2	3.0	3.2
Net interest cover (x)	1,754.5	6,379.8	17,352.1	16,065.6	20,560.6	45,780.6	80,266.2	131,125.6
Net dividend payout	12.6	55.1	156.5	68.3	85.8	70.0	70.0	70.0
Free cash flow yield	0.1	0.4	0.7	0.3	2.2	0.9	4.1	6.3

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1999, Hon Precision is the global leader in semiconductor test handlers and active thermal control (ATC) systems. The company dominates the global AI/HPC final test handler market, supported by its advanced thermal management technologies. With over 70% market share in AI/HPC test handling, Hon Precision benefits from growing demand for AI, HPC and custom ASIC applications. Its solutions are widely adopted by leading OSATs and foundries worldwide, making it a key enabler of advanced semiconductor testing.

Growth Catalysts

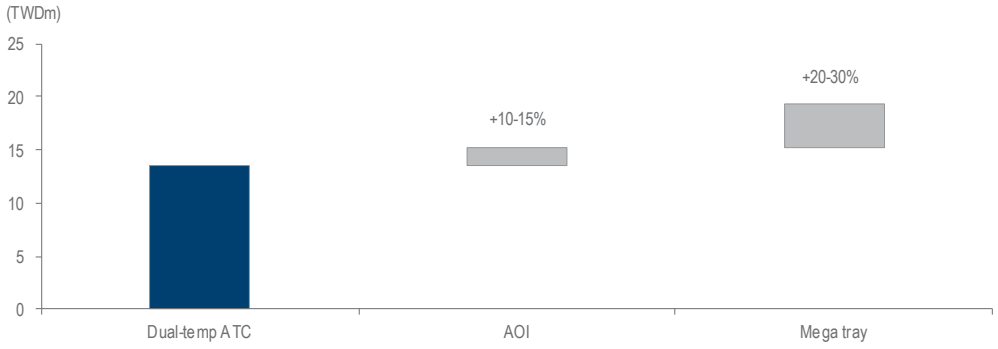
Multi-factor dollar content stacking

Content upgrades across ATC, mega-tray, and AOI to drive a multi-year ASP expansion cycle, in our view

We believe the primary growth catalyst for Hon Precision over our forecast horizon stems from multi-layered dollar content stacking, where the rise in machine unit value should outpace volume growth. Next-gen AI accelerators have historically exhibited more than 50-70% increase in thermal design power (TDP) per generation, with platforms like Nvidia Rubin and Rubin Ultra surging to 2.3kW and 3.6kW vs. Blackwell's 1.2kW to 1.4kW. Managing these extreme thermal loads makes high-end active thermal control (ATC) a necessity, driving a structural step-up in ASPs from standard handlers at approximately TWD6m to dual-temperature ATC systems at TWD12-15m, and tri-temperature ATC systems at TWD15-18m.

Concurrently, as the package size of next-generation ASICs/GPUs increases from the current 120mm tray specification to around 150mm, Hon Precision is introducing mega-tray large-package solutions in October 2026, which command a 25-30% ASP premium over mainstream GPU handlers. As the majority of next-generation ASIC/GPU is set to exceed the boundary of 120mm, we estimate shipment penetration for mega-tray solutions will likely reach 40% in 2027E. Integrated functions of Automated Optical Inspection (AOI) will contribute an additional 10-15% ASP uplift to unit value of handler. Furthermore, this content expansion extends into the flagship mobile AP market as smartphone processors transition to multi-die packaging. For example, Apple's A20 Pro processor has already adopted wafer-level multi-chip module (WMCM) packaging in 2026, requiring high-end ATC systems capable of managing up to 3,000W thermal dissipation to resolve device self-heating.

Hon Precision: ASP multipliers



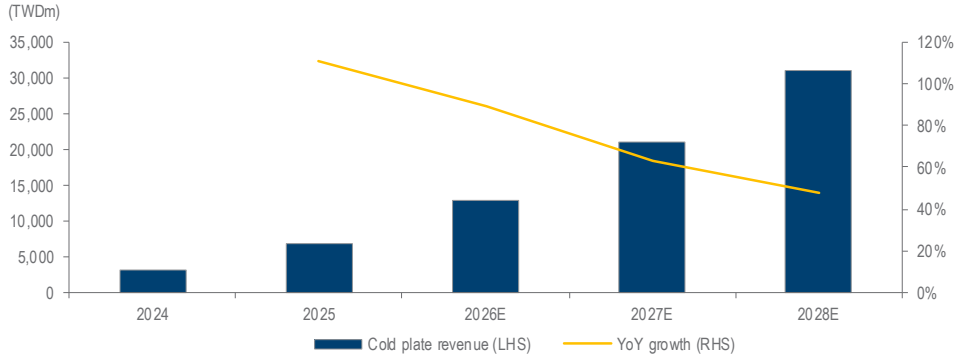
Source: Daiwa research

High-margin cold plate consumables

Cold plate consumables offer a recurring, high-margin growth engine alongside system sales

In addition to capital equipment set sales, Hon Precision's cold plate consumables business serves as a crucial recurring revenue engine and a primary driver of gross margin expansion. Cold plates carry the highest gross margin across all company product lines. Driven by the compression of AI processor lifecycles to 1-1.5 years (down from 2-3 years historically), each test handler requires 5-10 distinct, custom-engineered cold plates tailored to specific die footprints, socket layouts, and thermal hot-spot geometries. To conduct parallel test and maintain the throughput of chip testing, test handler for system level test (SLT) requires even more cold plates, which can go up to 24 plates. As a result, cold plate tooling generates high-frequency annuity-like sales that recur with every new chip platform iteration, independent of major equipment replacements.

Hon Precision: cold plate revenue trend



Source: Company, Daiwa research

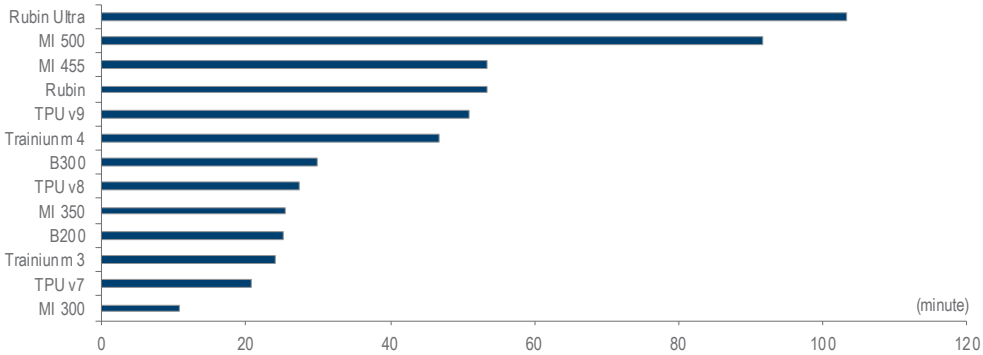
Testing duration and volume multiples

Rising test complexity to drive a multi-year expansion cycle for test handler demand, in our view

We believe the rapid rise in AI chip complexity is driving structural growth in semiconductor testing intensity, positioning Hon Precision as a key global beneficiary through its leadership in high-parallelism test handlers. Driven by the mainstream adoption of heterogeneous integration (such as TSMC's CoWoS and Intel's EMIB), verifying complex AI silicon has extended test durations by 2x to 10x vs. standard consumer chips (5 to 10 seconds). Final test durations for AI GPUs have expanded from hundreds of seconds to over 10 minutes per chip. To maintain daily manufacturing throughput despite this 10x spike, chipmakers must scale up massive parallel testing architectures and procure significantly more handlers, cementing Hon Precision as the primary test handler partner for tier-one US AI GPU and CPU players.

Concurrently, escalating chip complexity, TDP, and die costs make field return (RMA) penalties far exceed testing expenses, forcing cloud service providers (CSPs) and automotive OEMs to mandate system-level testing (SLT). Because SLT executes over extended durations ranging from minutes to hours per chip, high-volume production mandates automated parallel SLT handlers equipped with high-capacity ATC. Holding c.50% market share in AI/HPC SLT handlers alongside Chroma, Hon Precision is expanding beyond GPUs into custom CSP ASICs (eg, Google TPU and AWS) and server CPUs. As SLT adoption broadens across non-GPU devices, Hon Precision leverages this multi-year runway to transition into a full-spectrum semiconductor testing platform.

Global: growing chip complexity – testing time by AI/HPC chip



Source: Daiwa research

CPO unlocks new TAM beyond GPUs

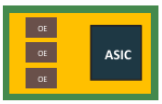
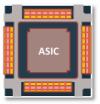
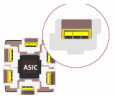
Beyond conventional electrical testing, Co-Packaged Optics (CPO) represents a multi-year paradigm shift towards a multimodal optical-electrical testing platform. Hon Precision currently monetises initial CPO deployments by supplying Final Test (FT) handlers for pure electrical testing (E/E test) of switch ASICs and Optical Engines (OEs) on production platforms such as Nvidia's Spectrum-X and Quantum-X.

CPO optical-electrical co-testing offers a new long-term growth opportunity for Hon Precision

However, the strategic growth catalyst is anchored in next-generation Insertion 4 (package-level optical and electrical co-testing, O/E co-test). Because an undetected defect in a single optical component would force manufacturers to scrap an entire high-value CPO module, early and rigorous package-level validation is imperative for yield protection. Collaborating directly with ATE leader Teradyne and optical instrument specialists (such as Keysight), Hon Precision is developing a specialised ATC handler capable of simultaneous optical and electrical validation, including Bit Error Rate (BER), optical loopback, crosstalk, and high-power thermal management testing for integrated ASIC and Optical Engine modules in a single touchdown.

Engaged with Nvidia CPO switch programmes and actively expanding to additional ASIC clients, Hon Precision targets engineering verification in late-2026 and initial shipments in 2027, ahead of 2028 volume production. Although we expect revenue contribution will likely be relatively low (<5% in 2027-2028), it drives valuation and market expectation to serve larger total addressable market (TAM).

Hon Precision: CPO offerings

Test Insertion	Insertion 1	Insertion 2	Insertion 3	Insertion 4	CPO FT		
				Joint Development	Mass Production		
Test Content							
	PIC	EIC-PIC	Optical Engine	ASIC + Optical Engine	ASIC + Optical Engine	ASIC	Optical Engine
	Wafer Level (Foundry)	Wafer Level (Foundry)	DIE/Chip Level (OSAT)	ASIC + Optical Engine	Package-level (OSAT)	Package-level (OSAT)	Package-level (OSAT)
				O/E	E/E	E/E	E/E
HON.PREC Test Equipment	NA			ATE Tester + ATC (3KW) Handler	ATE Tester + ATC (2KW) Handler	ATE Tester + ATC (1KW) Handler	ATE Tester + ATC (1KW) Handler

Source: Company, Daiwa research

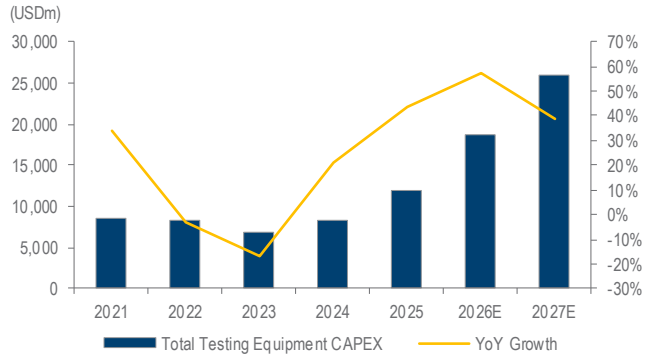
Market Analysis

Global testing equipment market

Global package handling equipment market set to expand at a 40.9% CAGR over 2024-27E

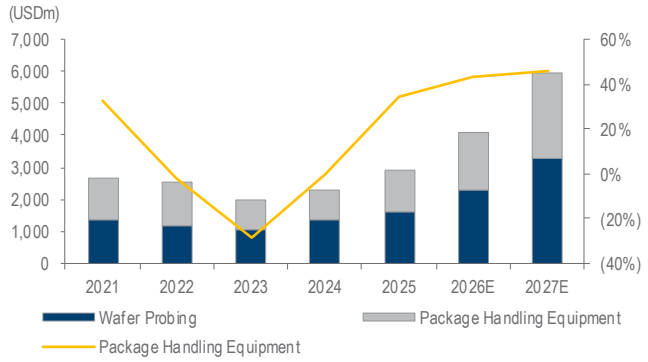
According to TechInsights, global testing equipment capex is projected to expand significantly from USD8.3bn in 2024 to USD26.1bn by 2027E, representing a 46.4% CAGR. Notably, while SoC test systems front-loaded strong growth in 2024-25, before tapering to 9.6% YoY in 2027E on TechInsights estimates, package handling equipment is forecasted to exhibit strong structural resilience and longevity. Based on TechInsights, market capex for package handling equipment will likely more than double from USD941m in 2024 to USD2.6bn by 2027E (40.9% CAGR), re-accelerating to 46% YoY growth in 2027E from 34% YoY in 2025. This cadence reflects the phased deployment of test infrastructure – initial tester investments are followed by high-volume back-end handling installations as advanced packaging (eg, CoWoS, Chiplets) scales into mass production.

Global semi testing equipment: capex



Source: TechInsights, Daiwa research

Global semi testing equipment: handler and prober growth



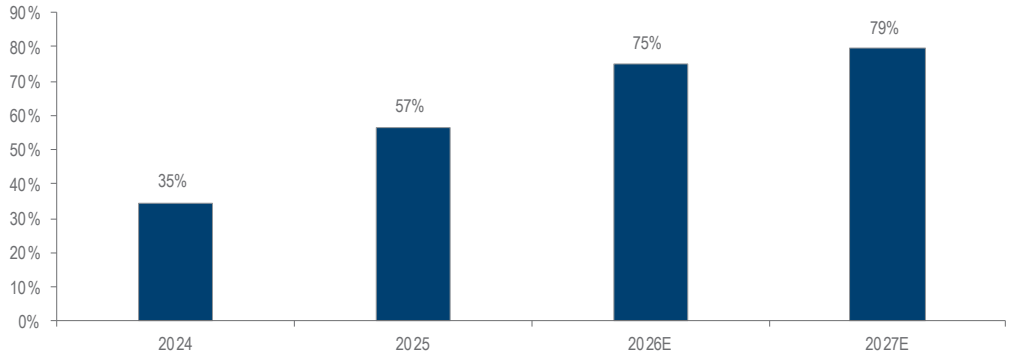
Source: TechInsights, Daiwa research

Handler market players

AI testing leadership, differentiated ATC capabilities, and growing SLT adoption support sustained market share expansion over 2026-28E

Hon Precision's overall share in the global test handler TAM rose from 35% in 2024 to 57% in 2025, and we forecast this to reach 75% in 2026E and 79% by 2027E. Within the high-value AI and HPC Final Test (FT) handler segment, Hon Precision maintains a dominant market share, exceeding 70% in both sales value and shipment volume, per management. In the rapidly expanding AI and HPC SLT handler segment, Hon Precision holds c.50% market share in terms of revenue, per management, alongside its primary peer, Chroma, establishing a duopoly in global high-end SLT testing.

Hon Precision: handler market share forecasts



Source: Daiwa research

Outside of AI and HPC logic testing, the broader test handler landscape comprises global and regional vendors, including Cohu (COHU US, NR), Advantest (6857 JP, JPY28,375, Outperform [2]; covered by Daiwa analyst Takeshi Fukuyama), and mainland Chinese suppliers such as Changchuan Technology (300604 CH, NR) and JHT Design (603061 CH, NR).

While global incumbents rely on brand prestige, standard architectures, and bundled offerings, Hon Precision excels in leading-edge AI/HPC testing through its ultra-high-power Active Thermal Control (ATC) and rapid engineering turnaround. As multi-kilowatt dynamic loads (1.5kW–3kW+) and extreme warpage on >120mm packages push standard handlers beyond their limits, Hon Precision's hyper-customised ATC fluidics, high-force micro-mechanics, and modular designs deliver superior millisecond thermal clamping and agile package adaptation. Furthermore, while giants like Advantest dominate the SoC ATE tester market (>55% share), their in-house handlers focus primarily on memory and standard logic. Consequently, tier-one chipmakers and OSATs standardly decouple tester and handler sourcing, thus pairing Advantest or Teradyne testers with Hon Precision's high-power ATC handlers. Located directly within Taiwan's advanced packaging cluster, Hon Precision provides real-time, on-site co-validation and custom cold-plate engineering that preserve formidable entry barriers against bundled solutions.

Advanced thermal control and customisation underpin competitive differentiation

Meanwhile, although Chinese competitors have expanded aggressively in domestic mature nodes and conventional Pick-and-Place handlers, Hon Precision commands a decisive generational lead in high-complexity advanced packaging applications. Chinese vendors remain largely confined to lower-wattage consumer, automotive, and industrial IC testing, lacking the proven patents, structural rigidity, and micro-level force balancing required to safely apply hundreds of kilograms of contact force onto fragile, multi-chip CoWoS packages without cracking dies or warping substrates. Moreover, because enterprise AI chips cost tens of thousands of dollars each, tier-1 global fabless leaders and North American cloud service providers (CSPs) maintain virtually zero tolerance for testing failure, establishing an entrenched validation moat for Hon Precision. Free from geopolitical export constraints, Hon Precision can seamlessly deploy across global OSAT networks in Taiwan, North America, and Southeast Asia.

Hon Precision: peers comparison

Company	Ticker	Market cap (USD bn)	Revenue mix (2025)	Handler: FT / SLT	Application focus
Hon Precision	7769 TT	22.1	ATC handlers 70-75%; cold plates 20-25 %; others 2-3%	FT 60-70%; SLT 20-30%	AI GPUs, AI ASICs, server CPUs
Chroma	2360 TT	16.2	Test instruments & ATS 48%; semiconductor/photonics test solutions 44%; turnkey 2%; others 6%	Mainly SLT	Semiconductor/IC testing; power and photonics testing
Changchuan	300604 CH	17.3	Testers 60.3%; handlers 29.6%; others 9.8%	Primarily a tester supplier	Logic/SoC, analog/mixed-signal, power/discrete
Accotest	688200 CH	6.7	Test systems 88.2%; system accessories 11.3%; others 0.5%	Primarily a tester supplier	Analog, mixed-signal and power semiconductors; expanding into SoC testing
JHT	603061 CH	3.0	Handlers 90.9%; spare parts 9.1%	Mainly FT	Automotive, consumer, connectivity/5G
Powertech	301369 CH	1.3	Automated semiconductor test systems 84.8%; laser marking & other integrated equipment 11.5%; parts/services 3.8%	Primarily a tester supplier	Power/discrete, analog/mixed-signal and SoC; SiC/GaN/IGBT; developing AI SoC testing
Advantest	6857 JP	131.2	Test System Business 90.3%; Services & Others 9.7%	Primarily a tester partner	SoC/logic, AI/HPC and memory testing
Cohu	COHU US	2.1	Test & inspection systems 40%; recurring revenue 60%	FT	Automotive, computing/networking

Source: Companies, Bloomberg, Daiwa research

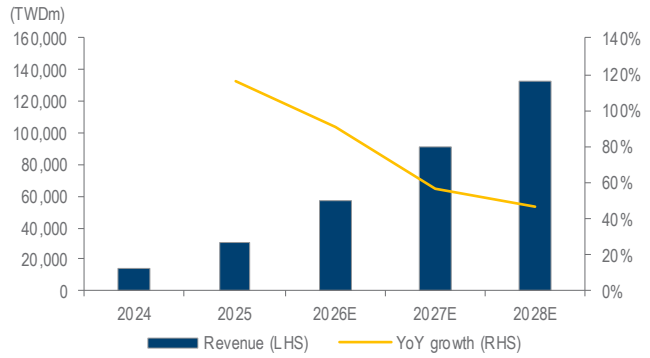
Financial Analysis

AI demand to sustain strong revenue growth

Strong AI demand, capacity expansion, and ASP upgrades should sustain revenue growth over 2026-28E

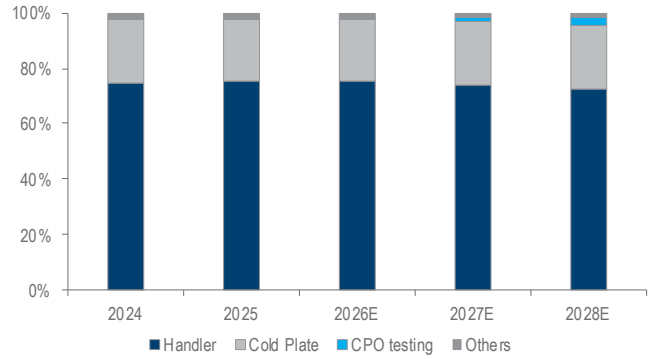
In 2025, Hon Precision's top line exceeded TWD30bn (+116% YoY), driven by global AI cluster rollouts. We forecast Hon Precision to sustain its top-line growth momentum over 2026-28E. We expect this to be mainly driven by core test handler and ATC systems (70-75% of revenue), where we forecast capacity to expand 40% YoY in 2026E, and 50% YoY over 2027-28E with utilisation rate remaining above 90%. We forecast blended ASP of test handler ASP to rise from TWD14.2m in 2025 to TWD16.3m by 2028E, mainly driven by increased adoption rate of mega tray (+20-25% ASP) and AOI (+10-15%) system. High-margin cold plate consumables revenue should also benefit from test handler shipment, which we forecast to increase at a 66.1% CAGR over 2025-28E.

Hon Precision: revenue growth



Source: Company, Daiwa research

Hon Precision: revenue mix



Source: Company, Daiwa research

Hon Precision: quarterly and annual P&L statements

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE			
Net sales	10,725	13,794	16,194	16,991	18,629	20,461	24,798	26,767	57,704	90,655	133,460
Gross profit	6,032	7,737	9,220	9,770	10,780	11,838	14,422	15,656	32,759	52,696	78,991
Operating costs	672	1,050	1,179	1,172	1,323	1,410	1,686	1,820	4,073	6,239	9,075
Operating profit	5,360	6,686	8,041	8,598	9,457	10,428	12,735	13,836	28,686	46,457	69,916
Pre-tax profit	5,798	6,892	8,414	8,843	9,819	10,797	13,064	14,146	29,947	47,827	71,513
Net profit	4,624	5,476	6,717	7,059	7,838	8,619	10,429	11,292	23,876	38,178	57,086
EPS (TWD)	25.70	30.44	37.33	39.23	43.56	47.90	57.96	62.76	132.70	212.18	317.27
Operating Ratios											
Gross margin	56.2%	56.1%	56.9%	57.5%	57.9%	57.9%	58.2%	58.5%	56.8%	58.1%	59.2%
Operating margin	50.0%	48.5%	49.7%	50.6%	50.8%	51.0%	51.4%	51.7%	49.7%	51.2%	52.4%
Pre-tax margin	54.1%	50.0%	52.0%	52.0%	52.7%	52.8%	52.7%	52.8%	51.9%	52.8%	53.6%
Net margin	43.1%	39.7%	41.5%	41.5%	42.1%	42.1%	42.1%	42.2%	41.4%	42.1%	42.8%
YoY (%)											
Net revenue	81%	100%	98%	83%	74%	48%	53%	58%	91%	57%	47%
Gross profit	73%	92%	95%	101%	79%	53%	56%	60%	91%	61%	50%
Operating income	71%	84%	93%	110%	76%	56%	58%	61%	91%	62%	50%
Net income	80%	122%	86%	90%	69%	57%	55%	60%	93%	60%	50%
QoQ (%)											
Net revenue	16%	29%	17%	5%	10%	10%	21%	8%			
Gross profit	24%	28%	19%	6%	10%	10%	22%	9%			
Operating income	31%	25%	20%	7%	10%	10%	22%	9%			
Net income	25%	18%	23%	5%	11%	10%	21%	8%			

Source: Company, Daiwa research

Margin architecture and operating leverage

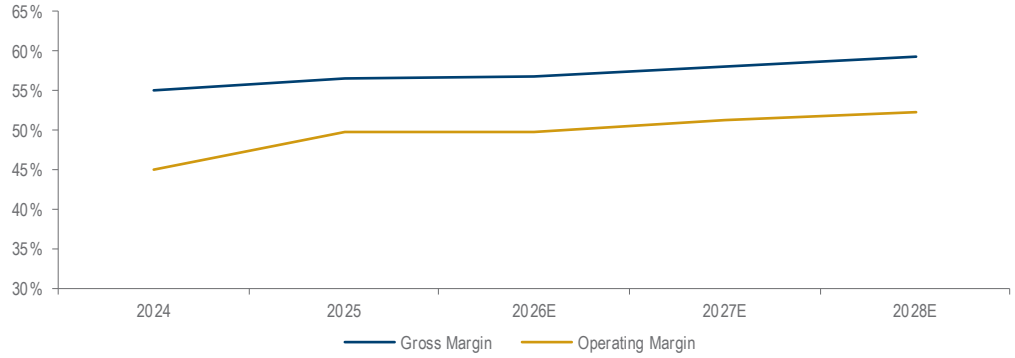
We forecast Hon Precision's gross margin to continue its upward momentum, expanding from 56.8% in 2026E to 58.1% in 2027E and 59.2% in 2028E. The new series of test handlers with more functions such as large package size, AOI, 12/25KW thermal

management, etc., will naturally drive the gross margin increase. Although proprietary cold plates command the highest gross margin across the product matrix, we expect Hon Precision to maintain revenue mix at a 22-23% level.

Product mix upgrades and operating leverage should drive continued margin expansion through 2028

With sustainable operational discipline, management believes its opex ratio over 2026-28E will remain around 5-8%. Although R&D expenditure continues to compound at over 60% annually, funding CPO Insertion 4 optical-electrical co-testing, 12/25kW thermal management, and micro-channel cold plate/lid architectures, significant top-line growth yields powerful operating leverage. We forecast operating margin to scale from 49.7% in 2026E to c.51-52% in 2027-28E, respectively.

Hon Precision: gross margin and operating margin



Source: Company, Daiwa forecasts

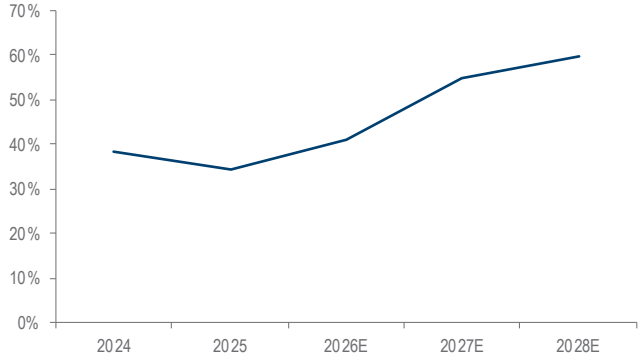
Balance sheet and cash flow

Strong cash generation supports capacity expansion, while we forecast dividend payout ratio to remain at around 70% over 2026-28E

Driven by surging AI/HPC testing demand, Hon Precision is actively expanding its capacity across the new Desheng facility, localised production at the Changshu site, and debottlenecking of headquarter efficiency. The company targets 40-50% capacity growth in 2026 and another 50% increase in 2027. The expansion of manufacturing space and production facilities requires an increase in capital expenditure, which we project Hon Precision will ramp up to approximately TWD2.8bn in 2026E, TWD3.8bn in 2027E, and TWD4.6bn in 2028E. The company's operating cash inflows are more than sufficient to fully fund factory expansions alongside a c.70% dividend payout ratio.

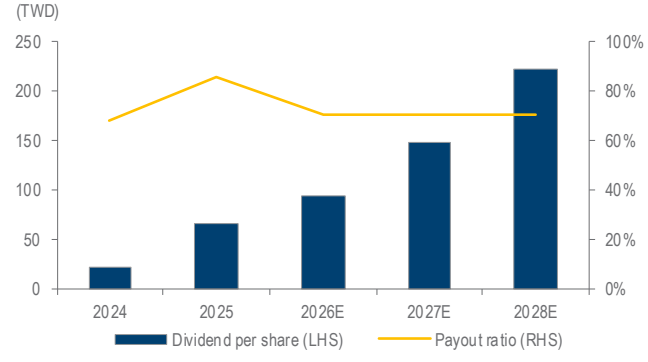
Hon Precision continues to maintain an un-levered balance sheet with zero financial bank debt. Cash and cash equivalents exceeded TWD53bn in 2025; we project this figure to surpass TWD75bn by 2028E. Its robust balance sheet underpins peer-leading shareholder returns, with ROE to expand from 34.5% in 2025 to 59.6% by 2028E. This self-funding cash engine supports management's targeted c.70% dividend payout ratio.

Hon Precision: ROE



Source: Company, Daiwa research

Hon Precision: dividend & payout ratio



Source: Company, Daiwa research

Valuation and recommendation

Initiating coverage with a Buy (1) rating

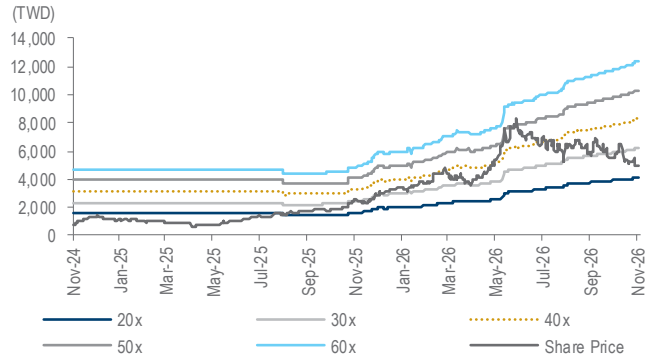
We initiate coverage with a Buy (1) rating, supported by compelling valuation and strong earnings growth visibility

We believe the recent share price correction offers an attractive entry point

We initiate coverage of Hon Precision with a Buy (1) rating and 12-month TP of TWD6,365, based on a target PER of 30x applied to our 2027E EPS forecast. When the stock rallied above TWD8,000 in 1H26, its forward PER multiple stretched to a cycle peak of 45-50x. However, we expect key growth catalysts, including a 50% aggregate capacity expansion, alongside higher-ASP shipments of large-form-factor mega tray handlers and co-packaged optics (CPO) test solutions, to drive its top line, primarily in 2H27. With existing production lines operating at full utilisation, investors are concerned over a potential temporary deceleration in growth momentum through 2H26-1H27, ahead of the next potential major capacity inflection in 2H27.

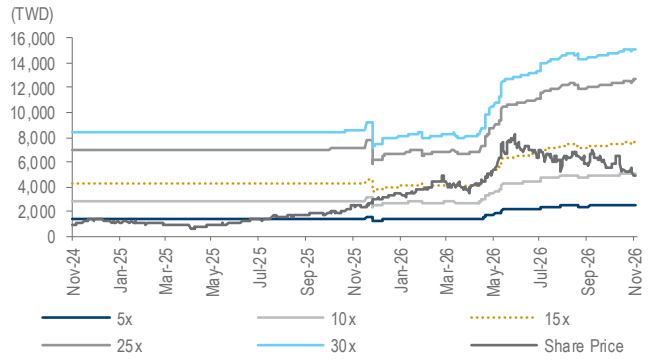
However, as the calendar rolls into 2027, we believe market attention will swiftly refocus on the company's multi-year structural thesis. Easing capacity bottlenecks, combined with robust ASIC-driven adoption of mega tray architectures and ramping CPO test platforms, should spark a powerful volume-and-ASP expansion cycle. The stock is currently trading at a 19x 1-year-forward PER vs. its earnings CAGR of 55% over 2026-28E, translating into a 0.35x PEG ratio. We believe the valuation now heavily discounts the near-term pause in revenue and macro noises, presenting a compelling risk-reward profile for long-term investors.

Hon Precision: blended 12-month-forward PER bands (past 2 years)



Source: Bloomberg, Daiwa research

Hon Precision: blended 12-month-forward PBR bands (past 2 years)



Source: Bloomberg, Daiwa research

Hon Precision: peers valuation table

Companies	Ticker	Rating	Share price (LC)	Mkt cap (USDm)	Daily turnover (USDm)	EPS CAGR 2026-28E	PER (x) 2026E	PER (x) 2027E	PER (x) 2028E	PBR (x) 2026E	PBR (x) 2027E	PBR (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E
Hon Precision*	7769 TT	Buy	4,040.0	22,060	150.7	55%	30.4	19.0	12.7	12.3	9.0	6.6	40.8	54.6	59.6
Chroma ATE	2360 TT	Not Rated	1,250.0	16,227	165.7	36%	26.7	18.1	14.5	12.2	9.1	7.0	52.0	61.6	54.6
Hangzhou Chang Chuan	300604 CH	Not Rated	177.7	17,271	135.9	53%	49.9	30.8	21.4	12.5	9.0	6.4	31.0	31.2	31.8
Beijing Huafeng Test *	688200 CH	Buy	222.6	6,706	1.2	90%	65.9	24.9	18.3	9.6	7.5	5.8	15.5	33.9	35.9
Jht Design	603061 CH	Not Rated	233.3	3,040	167.0	51%	44.1	29.6	19.3	10.0	7.6	5.6	21.5	25.0	27.4
PowerTECH	301369 CH	Not Rated	87.9	1,348	9.6	118%	72.1	28.0	15.2	5.5	4.7	3.8	7.8	17.8	27.0
Advantest Corp*	6857 JP	Outperform	28,375.0	131,216	13,463.5	60%	55.1	29.7	21.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Cohu	COHU US	Not Rated	43.4	2,055	1.9	n.a.	n.a.	18.3	13.5	2.5	2.6	2.2	7.3	17.1	n.a.
Average							**49.2**	**24.8**	**17.0**	**9.2**	**7.1**	**5.4**	**25.1**	**34.4**	**39.4**

*Source: Bloomberg, *Daiwa forecasts*
Note: Share prices as of 9 November 2026

Risks to our call

1. **Slower-than-expected AI/HPC investment:** A slowdown in AI infrastructure spending or delays in GPU, ASIC and server CPU ramps could reduce demand for high-end FT/SLT handlers and thermal-control solutions, weakening order growth and revenue visibility.
2. **Slower-than-expected new product adoption**: Customer qualification delays or slower adoption of mega-tray handlers, AOI inspection systems and CPO FT solutions could delay product ramps, resulting in revenue growth below our expectations.
3. **Potential share loss**: Competitors' advances in thermal control, customer qualification of alternative suppliers or delays in meeting new testing requirements could weaken Hon Precision's position on next-generation platforms, affecting market share and pricing power.

Appendix

Company introduction

Hon Precision has emerged as a globally leading provider of test handlers, with growing exposure to AI, HPC, and advanced thermal-control applications

Hon Precision was founded in Taichung in 2015, building on the technology and industry experience of Hon Technology, which was established in 1999. The company develops semiconductor test handlers and thermal-control solutions for AI GPUs, AI ASICs, server CPUs, automotive chips and consumer electronics, supporting customers from new-product introduction (NPI) through volume production.

Hon Precision has two main product categories:

- **Semiconductor test handlers**: Final-test (FT) and system-level-test (SLT) handlers automate chip loading, positioning and sorting. These platforms can incorporate active thermal control (ATC) systems to maintain chips at specified temperatures during testing.
- **Testing fixtures and modules**: Mainly customised cold plates and socket layout kits (SLKs), which provide thermal management and mechanical interfaces for different chip packages. Customers may require replacement cold plates and kits as package designs change, even when retaining existing handlers.

Hon Precision's order mix is significantly weighted towards AI/HPC/ASIC applications, which accounted for 78% of orders in 1Q-3Q26, up from 72% in 2025. These applications include AI computing, servers and networking. Automotive represented 9% of orders, followed by mobile AP and communications at 7%, consumer electronics at 4%, and memory and MEMS at 2%.

As for capacity, Hon Precision's manufacturing footprint is primarily based in Taiwan, with Taichung serving as the group's main R&D, engineering, quality management, and equipment production hub. In addition, the company operates a Suzhou facility focused on manufacturing cold plates and related kits, while Taichung Plant 4 is expected to provide incremental production capacity to support future growth.

Shareholder structure

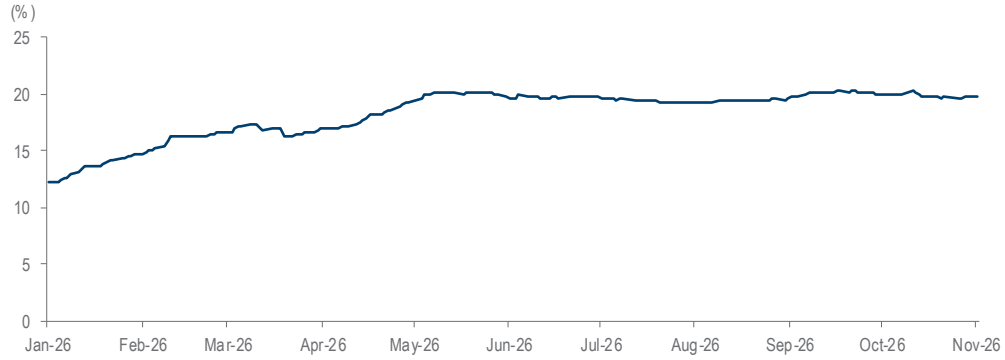
Hon Precision's major shareholders include several investment and development companies. As of 17 April 2026, Hung Min Development was the largest shareholder with a 17.37% stake, followed by Hongji Investment at 12.08% and Hong Yu Development at 7.80%. Chairman Wen-Ta Hsieh also directly held 1.77%. International institutional shareholders included Norges Bank and GIC, with disclosed stakes of 1.30% and 0.97%, respectively. The company has a free float of 48%, allowing broad public-market participation and supporting trading liquidity.

Hon Precision: shareholder structure (as of 17 April 2026)

Holder	Share (%)
Hung Min Development Co., Ltd.	17.37%
Hongji Investment Co., Ltd.	12.08%
Hong Yu Development Co., Ltd.	7.80%
Hong Cheng Investment Co., Ltd.	4.66%
Hong Jun Co., Ltd.	3.12%
Laiyu Investment Co., Ltd.	2.47%
Wen-Ta Hsieh	1.77%
Citibank (Taiwan) Limited as custodian for Norges Bank	1.30%
Chu Chen Investment Co., Ltd.	1.26%
Citibank (Taiwan) Limited as Custodian for GIC	0.97%

Source: Bloomberg, Company

Hon Precision: foreign institutional ownership trend



Source: TEJ

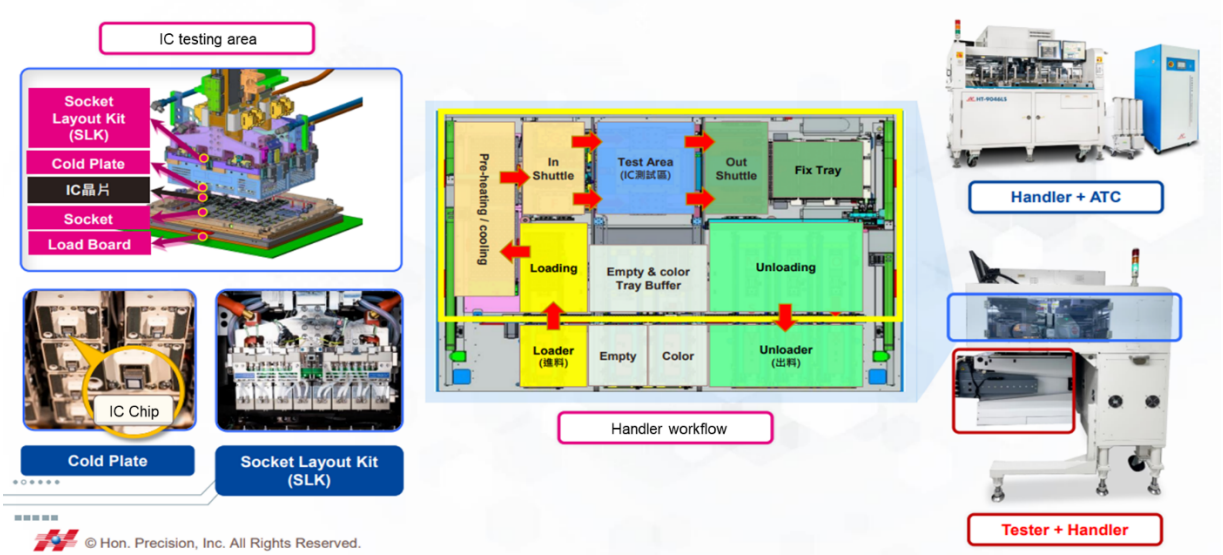
Appendix

What is handler?

A semiconductor test handler automates the movement, positioning and temperature conditioning of packaged chips during testing. It places each device into a test socket, applies the required contact force and sorts the device according to the test results. The tester performs the electrical measurements, while the handler ensures consistent mechanical and thermal conditions.

The process begins with packaged chips loaded into the handler in trays. After temperature conditioning, the handler transfers each chip into a test socket connected to the tester through a load board. Once electrical contact is established, the tester applies signals and measures the chip's response. For ATC-equipped systems, a customised cold plate works with the active thermal control system to maintain the required chip temperature throughout testing. The handler then unloads and sorts the chips based on their test results.

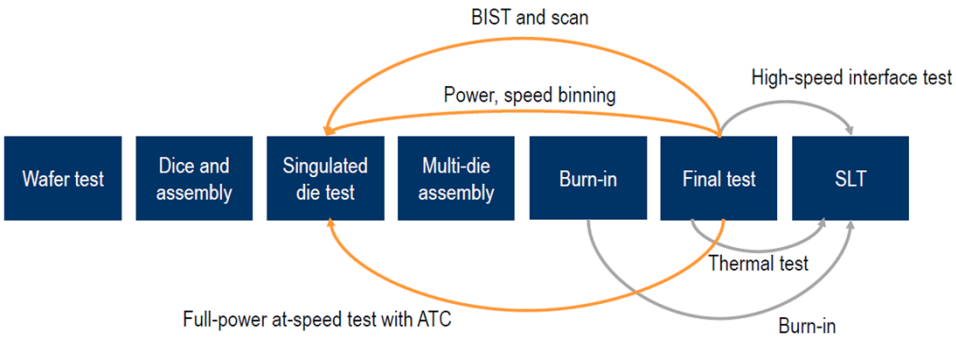
Semiconductor test handler: workflow and thermal control system



Source: Hon Precision, Daiwa research

Handlers are used in both final test (FT) and system-level test (SLT). FT handlers work with automated test equipment (ATE) to check electrical characteristics and functionality against specifications. SLT handlers place chips into test positions connected to system-level platforms, typically comprising test boards, test PCs and power supplies, to evaluate operation under conditions resembling actual use.

Semiconductor back-end testing FT workflow



Source: Semiconductor engineering

Thermal control becomes increasingly important as AI/HPC chips consume more power and adopt larger, more complex packages. Different test patterns change power consumption and heat distribution, requiring dynamic heating or cooling to keep the chip within a specified temperature range. Precise handling and temperature control support repeatable measurements, while parallel testing and efficient chip movement help improve overall test throughput.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	The board consists of nine directors, including three independent directors (33%) and one female director. Board oversight is supported by Audit and Compensation Committees, with directors completing 93 training hours in 2025.
	Capital management	1	The debt-to-asset ratio declined to 20.8% in 2025, reflecting a conservative balance sheet. The company continues to maintain solid profitability and financial flexibility.
	Related party & transaction	2	Related-party transactions are conducted under arm's-length principles, with conflict-of-interest disclosure and recusal mechanisms in place. No material governance concerns were disclosed.
G	Supply chain management	1	The company has established supplier qualification, audit and annual evaluation programs, incorporating RBA standards and responsible sourcing requirements into supplier management.
E	Water & wastewater management	2	Water consumption is primarily sourced from municipal supply, with wastewater treatment and recycling systems in place. No environmental violations related to water management were reported.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 10 Nov 2026
Source: Daiwa, Company

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Hiroyuki GOTO	(852) 2773 8870	hiroyuki.goto@hk.daiwacm.com
Regional Head of Equity, Asia & Oceania; Regional Head of Asia Pacific Research		
John HETHERINGTON	(852) 2773 8787	john.hetherington@hk.daiwacm.com
Co-Head of Asia Pacific Research and Head of Research Publications		
Li XIONG	(852) 2773 8878	li.xiong@hk.daiwacm.com
Strategy (Hong Kong/China)		
Kelvin LAU	(852) 2848 4467	kelvin.lau@hk.daiwacm.com
Regional Head of Automobiles, Industrials and Transportation		
Evelyn ZHANG	(852) 2848 4970	evelyn.zhang@hk.daiwacm.com
Automobiles and Components (Hong Kong/China)		
Carol XIA	(852) 2532 4349	carol.xia@hk.daiwacm.com
Head of China Consumer; Consumer (Hong Kong/China)		
Ashley LI	(852) 2532 4106	ashley.li@hk.daiwacm.com
Consumer (Hong Kong/China)		
Siman CHEN	(852) 2532 4350	siman.chen@hk.daiwacm.com
Consumer (Hong Kong/China)		
Jing YANG	(852) 2532 4308	jing.yang@hk.daiwacm.com
Head of China Healthcare		
John CHOI	(852) 2773 8730	john.choi@hk.daiwacm.com
Head of China Internet; Regional Head of Emerging Opportunities		
Lily LIU	(852) 2848 4435	lily.liu@hk.daiwacm.com
Internet (Hong Kong/China)		
Derek ZHANG	(852) 2532 4341	derek.zhang@hk.daiwacm.com
Power Infrastructure (China/US), Utilities (Hong Kong/China)		
Marco ZENG	(852) 2848 4430	marco.zeng@hk.daiwacm.com
PCB (China)		

CHINA		
Louis LUO	(86) 21 6841 3282	louis.luo@daiwacm.cn
Automobiles and Components, Industrials (China)		
William WU	(86) 21 6841 3200	william.wu@daiwacm.cn
Banking, Property (China/Hong Kong)		
Mavis MA	(86) 21 6841 3288	mavis.ma@daiwacm.cn
Battery Components; Industrials (China)		
Bintuo NI	(86) 21 6841 3228	bintuo.ni@daiwacm.cn
Tech Hardware and Semiconductors (China)		

SOUTH KOREA		
Yoonki BAE	(82) 2 787 9168	yoonki.bae@kr.daiwacm.com
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Mike OH	(82) 2 787 9179	mike.oh@kr.daiwacm.com
Banking, Capital Goods – Defence, Construction and Shipbuilding, and Utilities		
Youngho JANG	(82) 2 787 9838	youngho.jang@kr.daiwacm.com
Consumer, Healthcare		
Henny JUNG	(82) 2 787 9182	henny.jung@kr.daiwacm.com
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Daeho SON	(82) 2 787 9176	dh.son@kr.daiwacm.com
Industrials – Robotics		
Joon LEE	(82) 2 787 9151	hj.lee@kr.daiwacm.com
Media, Software and IT Services		
Thomas Y KWON	(82) 2 787 9181	yskwon@kr.daiwacm.com
Pan-Asia Head of Internet & Telecommunications; Online Games		
SK KIM	(82) 2 787 9173	sk.kim@kr.daiwacm.com
Head of Global Memory; IT/Electronics – Semiconductors/Displays and Tech Hardware		

TAIWAN		
Rick HSU	(886) 2 8758 6261	rick.hsu@daiwacm-cathay.com.tw
Head of Regional Technology; Head of Taiwan Research; Semiconductors (Regional)		
Sheng CHENG	(886) 2 8758 6253	sheng.cheng@daiwacm-cathay.com.tw
IT/Technology Hardware (Automation, Datacentre Components and PCB/CCL) (Greater China)		
Leon CHEN	(886) 2 8758 6247	leon.chen@daiwacm-cathay.com.tw
IT/Technology – Semiconductors Supply Chain (Taiwan)		
Helen CHIEN	(886) 2 8758 6254	helen.chien@daiwacm-cathay.com.tw
Small/Mid Cap		

Daiwa's Offices

Office / Branch / Affiliate	Address	Tel	Fax
DAIWA SECURITIES GROUP INC			
HEAD OFFICE	Gran Tokyo North Tower, 1-9-1, Marunouchi, Chiyoda-ku, Tokyo, 100-6753	(81) 3 5555 3111	(81) 3 5555 0661
Daiwa Securities Trust Company	One Evertrust Plaza, Jersey City, NJ 07302, U.S.A.	(1) 201 333 7300	(1) 201 333 7726
Daiwa Securities Trust and Banking (Europe) PLC (Head Office)	5 King William Street, London EC4N 7JB, United Kingdom	(44) 207 320 8000	(44) 207 410 0129
Daiwa Europe Trustees (Ireland) Ltd	Level 3, Block 5, Harcourt Centre, Harcourt Road, Dublin 2, Ireland	(353) 1 603 9900	(353) 1 478 3469
Daiwa Capital Markets America Inc. New York Head Office	1251 Avenue of the Americas, 49th Floor, New York, NY 10020	(1) 212 612 7000	(1) 212 612 7100
Daiwa Capital Markets America Inc. San Francisco Branch	1 California St, Suite 200, San Francisco, CA 94111, U.S.A.	(1) 415 955 8100	(1) 415 956 1935
Daiwa Capital Markets Europe Limited, London Head Office	5 King William Street, London EC4N 7AX, United Kingdom	(44) 20 7597 8000	(44) 20 7597 8600
Daiwa Capital Markets Deutschland GmbH	Tower 185, 26 O.G., Friedrich-Ebert-Anlage 35-37, 60327 Frankfurt am Main, Germany	(49) 69 27139 8100	(49) 69 27139 8190
Daiwa Capital Markets Europe Limited, Paris Representative Office	40 rue du Colisée, 75008 Paris, France	(33) 1 56 262 200	(33) 1 47 550 808
Daiwa Capital Markets Europe Limited, Bahrain Branch	Office 3503, 35th Floor, United Tower, Bahrain Bay, P.O. Box 30069, Manama, Bahrain	(973) 17 534 452	(973) 17 535 113
Daiwa Capital Markets Hong Kong Limited	Level 26, One Pacific Place, 88 Queensway, Hong Kong	(852) 2525 0121	(852) 2845 1621
Daiwa Capital Markets Singapore Limited	7 Straits View, Marina One East Tower, #16-05 & #16-06, Singapore 018936, Republic of Singapore	(65) 6387 8888	(65) 6282 8030
Daiwa Capital Markets Australia Limited	Level 34, Rialto North Tower, 525 Collins Street, Melbourne, Victoria 3000, Australia	(61) 3 9916 1300	(61) 3 9916 1330
Daiwa-Cathay Capital Markets Co Ltd	14/F, 200, Keelung Road, Sec 1, Taipei, Taiwan, R.O.C.	(886) 2 2723 9698	(886) 2 2345 3638
Daiwa Securities Capital Markets Korea Co., Ltd.	20 Fl.& 21Fl. One IFC, 10 Gukjegeumyung-Ro, Yeongdeungpo-gu, Seoul, Korea	(82) 2 787 9100	(82) 2 787 9191
Daiwa Securities Co. Ltd., Beijing Representative Office	Room 301/302，Kerry Center，1 Guanghua Road，Chaoyang District，Beijing 100020, People's Republic of China	(86) 10 6500 6688	(86) 10 6500 3594
Daiwa (Shanghai) Corporate Strategic Advisory Co. Ltd.	7th Floor, Hang Seng Bank Tower, 1000 Lujiazui Ring Road, Pudong, Shanghai, People's Republic of China	(86) 21 3858 2000	(86) 21 3858 2111
Daiwa Securities Co. Ltd., Bangkok Representative Office	18th Floor, M Thai Tower, All Seasons Place, 87 Wireless Road, Lumpini, Pathumwan, Bangkok 10330, Thailand	(66) 2 252 5650	(66) 2 252 5665
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New York Research Center	11th Floor, Financial Square, 32 Old Slip, NY, NY 10005-3504, U.S.A.	(1) 212 612 6100	(1) 212 612 8417
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Rating	Percentage of total
Buy*	73.96%
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Source: Daiwa

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Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association